

**SUBSTITUTE FOR
HOUSE BILL NO. 4510**

A bill to amend 1965 PA 314, entitled
"Public employee retirement system investment act,"
(MCL 38.1132 to 38.1141) by adding section 19c.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 19c. (1) For a system in which the State of Michigan**
2 **Investment Board created under Executive Reorganization Order No.**
3 **2018-5, MCL 38.1176, is the investment fiduciary, the investment**
4 **fiduciary may invest in cryptocurrency that has a market**
5 **capitalization of at least \$250,000,000,000.00 averaged over the**
6 **previous calendar year. If an investment fiduciary described in**
7 **this subsection invests in cryptocurrency as allowed under this**
8 **subsection, and if, after the investment, the market capitalization**
9 **is less than \$250,000,000,000.00, the investment fiduciary is not**



1 required to sell the cryptocurrency. An investment fiduciary
2 described in this subsection shall not invest more than 5% of a
3 system's assets in cryptocurrency. Any digital asset held directly
4 by a system described in this subsection must be held in the form
5 of an exchange-traded product issued by a registered investment
6 company.

7 (2) As used in this section:

8 (a) "Cryptocurrency" means digital currency in which
9 encryption techniques are used to regulate the generation of units
10 of currency and verify the transfer of funds, and that operates
11 independently of a central bank.

12 (b) "Digital asset" means virtual currency, cryptocurrencies,
13 natively electronic assets, including stablecoins and non-fungible
14 tokens, and other digital-only assets that confer economic,
15 proprietary, or access rights or powers.

16 (c) "Exchange-traded product" means any financial instrument
17 that is approved by the United States Commodities Futures Trading
18 Commission or the Securities and Exchange Commission that is traded
19 on a United States regulated exchange and derives its value from an
20 underlying pool of assets, including, but not limited to, stocks,
21 bonds, commodities, and indexes.